	International Flavors & Fragrances 1969	International Harvester 1969
Price, December 31, 1969	65½	24¼
Number of shares of common	11,400,000	27,329,000
Market value of common	$747,000,000	$710,000,000
Debt	4,000,000	313,000,000
Total capitalization at market	751,000,000	1,023,000,000
Book value per share	$6.29	$41.70
Sales	$94,200,000	$2,652,000,000
Net income	13,540,000	63,800,000
Earned per share, 1969	$1.19	$2.30
Earned per share, 1964	.62	3.39
Earned per share, 1959	.28	2.83
Current dividend rate	.50	1.80
Dividends since	1956	1910
Ratios:		
Price/earnings	55.0 ×	10.7 ×
Price/book value	1050.0%	59.0%
Dividend yield	0.9%	7.3%
Net/sales	14.3%	2.6%
Earnings/book value	19.7%	5.5%
Current assets/liabilities	3.7 ×	2.0 ×
Working capital/debt	large	1.7 ×
Interest earned	—	(before tax) 3.9 ×
Growth in per-share earnings		
1969 versus 1964	+93%	+9%
1969 versus 1959	+326%	+39%

The story is told in Table 18-5. Here we find Flavors with a sensational profit of 14.3% of sales (before income tax the figure was 23%), compared with a mere 2.6% for Harvester. Similarly, Flavors had earned 19.7% on its stock capital against an inadequate 5.5% earned by Harvester. In five years the net earnings of Flavors had nearly doubled, while those of Harvester practically stood still. Between 1969 and 1959 the comparison makes similar reading. These differences in performance produced a typical stock-market divergence in valuation. Flavors sold in 1969 at 55 times its last reported earnings, and Harvester at only 10.7 times. Correspondingly, Flavors was valued at 10.4 times its book value, while Harvester was selling at a 41% *discount* from its net worth.

COMMENT AND CONCLUSIONS: The first thing to remark is that the market success of Flavors was based entirely on the development of its central business, and involved none of the corporate wheeling and dealing, acquisition programs, top-heavy capitalization structures, and other familiar Wall Street practices of recent years. The company has stuck to its extremely profitable knitting, and that is virtually its whole story. The record of Harvester raises an entirely different set of questions, but these